

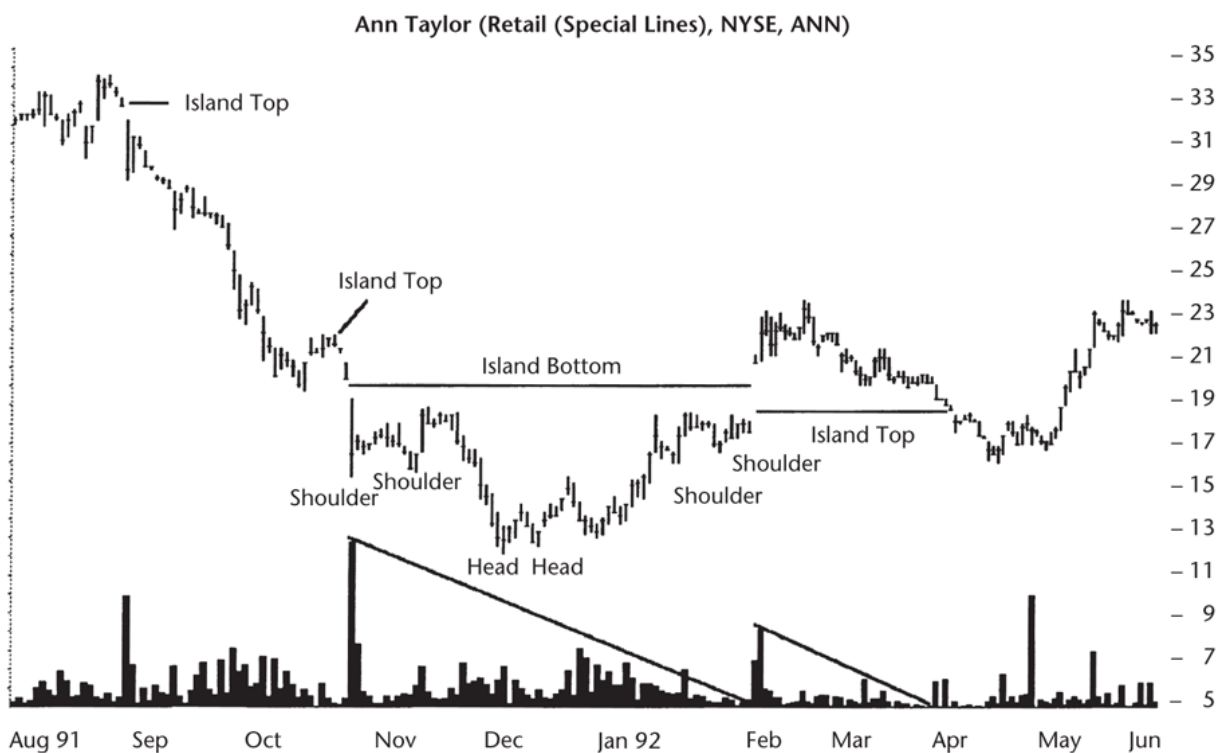


Figure 45.2 Several island reversals, some with short durations and some with longer durations. The island bottom is also a complex head-and-shoulders bottom that retests the neckline in April.

The wide island bottom forms after an extensive decline that sees price drop from a high of 36.50 to 12.00 in less than 5 months. The exhaustion gap occurs on very high volume (the highest on the chart), and price that day has a very tall trading range. The gap remains open until price gaps upward in late January.

The island bottom looks like a complex head-and-shoulders bottom. Marked on the figure are dual shoulders and two heads. Volume for the head-and-shoulders pattern is what you would expect: highest on the left shoulder, diminished on the head, and quite low on the right shoulder. Only after price gaps upward does volume spike higher for 2 days before recovering and trending downward.

The island top on the right of the figure is somewhat difficult to spot because of the large gap on the left that matches the small one on the right. It only takes a few days for price to reach its high before easing down. When price gaps lower at the end of March, volume does not budge.